BERNSTEIN
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Daniel Zhu
+1 917 344 8309
daniel.zhu@bernsteinsg.com

US Networking & Communications Equipment

Celestica Inc

Rating

Outperform

Price Target

CLS **495.00 USD** (520.00 *OLD*)

CLS Q3 26 Earnings & Investor Day Debrief: Clearing a high bar - with more upside to come

Celestica released its Q3 26 earnings press release yesterday, after the close. This was followed today by the earnings call and Investor Day. This note summarizes our key takeaways from the events.

Celestica provided formal guidance for FY 2027 in the press release, guiding to $40B in revenue, $21.50 in EPS, 9.0% operating margins, and $1.5B-2.0B in capital expenditures. While they did not guide to 2028 yet, management stated that 2028 demand exceeded 2027 expected revenue and gave color on hyperscaler demand.

For the quarter, Celestica Q3 26 revenue of $5.83B beat consensus of $5.44B and our estimates of $5.43B. Their reported EPS of $3.30 beat consensus at $2.97 and us at $2.79.

For Q4 26, Celestica guided to $6.275-6.575B in total revenue, in line with our estimate of $6.31B and consensus of $6.40B. Management also guided to $3.37-3.57 in EPS, higher than us at $3.33 and consensus at $3.49. We net out at $6.45B in revenue and $3.55 in EPS for the quarter.

We believe Celestica is continuing to bake significant conservatism into the 2027 numbers, and that 1.3 GW in Jalapeno is achievable. We raise our CCS revenue estimates for 2027 and 2028 to $43B and $65B.

Investment Implications

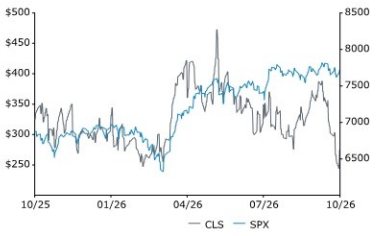
We reiterate our Outperform rating, and adjust our price target to $495 (13x $38 in 2028E EPS). While a recovery in Celestica's multiple will likely depend on improving sentiment for the broader AI theme, we see Celestica's multiple as extremely cheap, and believe an AI downcycle is already priced into the company's current multiple. Accordingly, we like Celestica longer-term, while conservative near-term guidance and the possibility of a new program announcement also offer near term upside.

Close Date	27 Oct 2026
CLS Close Price (USD)	276.54
Price Target (USD)	495.00
Upside/(Downside)	79%
52-Week Range	474.03/244.51
SPX	7,722.60
FYE	Dec
Div Yield	NA
Market Cap (USD) (M)	34,861
EV (USD) (M)	31,719

Performance	YTD	1M	6M	12M
Absolute (%)	(6.5)	(24.3)	(34.5)	(8.4)
SPX (%)	12.8	(0.3)	7.6	12.3
Relative (%)	(19.3)	(24.1)	(42.2)	(20.7)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Reported EPS	F25A	F26E	F27E
CLS (USD)	6.06	**11.55**	**25.66**
OLD	--	10.82	24.19

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	12,391	20,482	40,026	79.7%
EBITDA (M)	1,232	1,933	3,512	68.8%
Net Income Margin (%)	6.7	6.5	6.4	--

Valuation Metrics	F25A	F26E	F27E
Reported P/E (x)	45.7	23.9	10.8
Adjusted P/E (x)	45.7	24.4	11.6
EV/Sales (x)	2.6	1.5	0.8
EV/EBITDA (x)	25.7	16.4	9.0

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.
www.bernsteinresearch.com

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DETAILS

Celestica released its Q3 26 earnings press release yesterday, after the close. This was followed today by the combined earnings call and Investor Day, and then the Investor Day Lunch forum. This note summarizes our key takeaways from the events.

Celestica provided formal guidance for FY 2027 in the press release, guiding to $40B in revenue, $21.50 in EPS, 9.0% operating margins, and $1.5B-2.0B in capital expenditures. While they did not guide to 2028 yet, management stated that 2028 demand exceeded 2027 expected revenue and gave color on hyperscaler demand.

- **Celestica's 2027 guidance largely tracked or fell slightly below our estimates, with revenue in line, capex above, and EPS and operating margins below.**
  - **Revenue.** Celestica guided to $40B in FY 2027 revenue, representing 90% revenue growth acceleration. This guide was in line with our estimates of $40.03B and cleared consensus estimates of $35.87B. This included 110% growth in CCS and ~10% growth in ATS, the latter headlined by 40% growth in WFE, in line with the broader industry. Celestica acknowledged that revenue will be backloaded due to production ramp timing. Celestica commented that the transition to 1.6T should be faster than 800G and that 1.6T switching would be larger in revenue terms than 800G, despite continued growth in 800G.
  - **Margins and EPS.** Celestica guided to 9.0% in operating margins for FY 2027, below our estiamte of 9.7%, but above consensus at 8.4%. Management also guided to 11% gross margins. Celestica guided to EPS of $21.50, below our estimates of $24.19, but above consensus at $19.84.
  - **Capex and FCF.** Celestica guided to $1.5-2B in capex spend during 2027 to support expected program accelerations, above our estimates of $1.1B. Management said to expect a net use of cash in 2027, but that the company would return to FCF positive in 2028.
- **Celestica did not provide guidance for 2028 beyond commenting that 2028 demand exceeded 2027 revenue and citing confidence in their ability to return to free cash flow positive.** Celestica did not provide formal or even informal guidance for 2028, beyond stating that "in fact, our 2028 customer demand forecast based solely on awarded programs are meaningfully higher than our 2027 revenue outlook" and that while 2027 free cash flow would likely turn negative, "when you look at 2028 and beyond, we feel comfortable based on our current view that we're confident we'll be able to target to return to positive cash flow in '28." Celestica also stated that hyperscalars continued to be compute constrained against strong end user demand, and accordingly were willing to make commitments to secure compute supply. Moreover, while Celestica and its hyperscalar customers acknowledged concerns about power and land availability, and noted that data center operators were exploring options to move data centers into different jurisdictions to avoid local constrains, Celestica continued to believe that semiconductors were the tightest constraint on the pace of the compute build-out.

For the quarter, Celestica Q3 26 revenue of $5.83B beat consensus of $5.44B and our estimates of $5.43B. At the segment level: ATS revenue of $957M beat consensus at $896M and us at $906M, and CCS revenue of $4.87B beat consensus of $4.40B and us at $4.52B. Their reported EPS of $3.30 beat consensus at $2.97 and us at $2.79. Free cash flow missed consensus but beat our estimates, and gross profit and operating profit both beat - Exhibit 1.

- **Total revenue.** Celestica solidly beat on total revenue, with reported numbers of $5.83B beating consensus of $5.44B and us at $5.43B. This represents 83% YoY growth and 24% QoQ growth. Networking revenue was up 68% and compute and storage was up 242% due to AI hyperscaler demand.
- **CCS revenue and margins.** CCS revenue of $4.87B beat consensus of $4.40B and us at $4.52B. CCS profit margins were 8.9%, above consensus at 8.8% and above us at 8.8%. CCS represented 84% of total company revenue.
- **ATS revenue and margins.** ATS revenue of $957M beat consensus at $896M and us at $906M. Margins of 6.6% beat consensus at 6.35% and matched us at 6.6%. Management cited improved mix and capital equipment acceleration as motivators for the beat.
- **EPS and FCF.** EPS of $3.30 beat consensus at $2.97 and us at $2.79. Free cash flow of $116M beat our estimates of -$149M, but missed consensus expectations at $231M.

- **Gross profit and operating profit.** Gross profit at $652M beat consensus at $630M and us at $622M. Operating profit of $496M beat consensus at $459M and us at $458M.

For Q4 26, Celestica guided to $6.275-6.575B in total revenue, in line with our estimate of $6.31B and consensus of $6.40B. Management also guided to $3.37-3.57 in EPS, higher than us at $3.33 and consensus at $3.49 - Exhibit 2.

- **Revenue + segment split.** Celestica guided to $6.275-6.575B in total revenue, in line with our estimate of $6.31B and consensus of $6.40B. Within that, management pointed to CCS growing 65% under increased hyperscaler demand and ATS growing in the low 20 percent range. Guidance haircuts our CCS growth estimates of 88.7%, but it comes in above our ATS growth estimate of 15%. Overall, with an increased hyperscaler demand environment, we think the stock could grow at these rates.

- **Margins.** Celestica guided to 8.7% in operating margins for Q4 26, slightly above our estimates of 8.6%. This guidance comes from the midpoint of their revenue guidance, implying margins may be slightly tighter than we anticipated.

- **EPS.** The guided range of $3.37-$3.57 landed in line with consensus but above our expectations. This range matches the midpoint of guided revenue and has share assumptions of 127M.

- **FCF.** They guided to $460M in free cash flow, down from previous estimates of $600M. Management discussed spending to drive new growth as a reason for the guide down, which they reiterated during their Investor Day Lunch Forum as a key tradeoff.

- **We net out at $6.45B for Q4, slightly above the midpoint of guidance, and $3.55 in EPS.**

We believe Celestica is continuing to bake significant conservatism into the 2027 numbers. In particular, management appears to be haircutting Broadcom's plan for a 1.3 GW deployment of OpenAI Jalapeno, but the supply chain appears to be planning for 1.3 GWs and Celestica should be in position to deliver. Given Broadcom's plans for 5 GW of Jalapeno in 2028, even haircutting numbers for execution risk and a potential second source, we also significant upside to 2028 numbers. We raise our CCS revenue estimates for 2027 and 2028 to $43B and $65B - Exhibit 3.

- **We believe $12B in OpenAI Jalapeno is achievable in 2027, given that Broadcom and the supply chain appears to be planning for 1.3 GWs.** Celestica's 2027 revenue guidance of $40.0B came in right in line with our estimate of $40.03B in 2027 revenue. However, our estimate included a haircut to OpenAI Jalapeno deployments to account for execution risk. We believe that Celestica's guidance prudently includes a similar haircut. However, we also believe that the full 1.3 GW deployment that Broadcom has been discussing is achievable, especially since we've heard that the supply chain is planning for 700K ASIC units . 1.3 GW * 4.3k Jalapeno racks / GW * 128 ASICs per rack = 720k ASIC units, in line with the supply chain commentary. This suggests to us that the supply chain is planning for the full 1.3 GW deployment, and we model accordingly.

- **We net out at $47B in revenue and $28.6 in EPS for 2027.** We also guess-timate program level margins - in addition to the 8.9% blended margins for the existing CCS business, we estimate AMD Helios and the rest of HPS at a 12% margin, in line with our estimate for historical Networking margins. For Jalapeno, we believe that OpenAI is likely earning a higher margin on scale-up, given the relatively high design content, but that the rest of the Jalapeno is earning narrower margins. We also estimate TPU at a 7% margin. We net out at 9.2% margins for 2027, slightly above guidance of 9% (Exhibit 3, again). Flowing our updated revenue and operating profit numbers through the income statement, we land at $25.66 in 2027 EPS.

- **For 2028, we haircut Jalapeno by half, and model 2.5 GWs. Coupled with continued growth in TPU and HPS, we believe $64B in CCS revenue and $69B in total revenue is achievable.** Broadcom has talked about 5 GWs of Jalapeno deployments. Celestica works closely with Broadcom and is planning capacity based on the feedback from its customers, including Broadcom. Management's commentary also points to capacity more than tripling from 160 MW earlier this year to 500 MW next year to support customer capacity, and for $1.5-2B in capex in 2027 against $1.4B in current PP&E. However, even if Broadcom second sources for the OpenAI ASIC (and even ignoring that this would likely involve putting Celestica on the higher-value next gen ASIC while ramping a second source on Jalapeno), assuming 2.5 GW of Jalapeno for Celestica (so 1.2 GW incremental over 1.3 GW in 2027) would point to $11.2B in incremental revenue. Coupled with continued growth in TPU (which we model based on Mark Li's CoWoS model) and the rest of HPS (which we model based on our networking industry model), we land at $64B in revenues for CCS.

- **Even with investments in both working capital and PP&E, we expect FCF to be barely negative at -$142M, and expect Celestica to return to free cash flow positive in 2028.** Management warned that FCF would likely be negative in 2027 but stated that it would return to being positive in 2028. We believe that there is potentially some conservatism baked into this guidance - even modeling capex at the high end of the $1.5-2B range, and modeling the YTD improvement in working capital days partially reversing (going from 49.5 days in Q3 to 60 days in 2027), we land at -$142M in free cash flow, or -4.7% cash conversion, which is a relatively modest amount compared to the company's cash balance of $3B. Accordingly, we see the free cash flow commentary as credible, or possibly conservative.

- **We believe another program win is possible, presenting further upside to our numbers.** Management acknowledged that they are in continued conversations with other potential partners. Between a marquee win with OpenAI and a strong executional track record and existing relationships with key ecosystem players such as Broadcom, we believe Celestica is well positioned to win further new programs. We also believe that Celestica's equity raise and conservative balance sheet may be in part to secure the financial flexibility to support further program wins. Accordingly, we see further potential upside to our numbers from another potential program win.

While a recovery in Celestica's multiple will likely depend on improving sentiment for the broader AI theme, we see Celestica's multiple as extremely cheap, and believe an AI downcycle is already priced into the company's current multiple. Accordingly, we like Celestica longer-term, while conservative near-term guidance and the possibility of a new program announcement also offer near term upside.

- **Bears are concerned about Celestica's market share, especially amid reports that Inventec and/or Hon Hai is second sourced for Google's TPU.** Bears often cite concerns around Celestica's market share, amid reports that Google is second sourced for TPU (link). Our general understanding is that, while Google is second sourced, it is continuing to rely on Celestica for higher value racks, and largely shifting volumes of more mature and less mission critical programs to its second sources. We believe that this makes sense from Google's perspective - Google sees an opportunity to build its own ecosystem in the huge AI accelerator market, and speed to market is critical to capturing that opportunity, in turn incentivizing Google to rely on vendors that are already familiar with the program and have proven that they can deliver.

- **Bears are also concerned about the sustainability of Celestica's margins, given the intensity of competition with Taiwanese ODMs.** While the ODM / EMS business remains fiercely competitive, we observe that Celestica's margins are not really hugely out of line with the rest of the group, especially considering significant mix from higher margin switching. We also observe that Celestica's margin dollars are small in the context of the overall build, which typically tends to blunt price sensitivity compared to other concerns like the aforementioned speed to market concerns. Celestica's revenues are maybe ~4% of the value of the rack, and CLS is making perhaps 7.5% margins, implying Celestica profit dollars are ~30 bps of rack value. We don't believe it makes sense for Google to put its speed to market at risk in exchange for maybe saving 10-15 bps, and that this is why second sourcing is largely restricted to lower value racks

- **Bears further argue that if Celestica's margins and market share are not sustainable, it should trade closer to peers.** Our bull pushback is that, while Celestica trades at an elevated multiple on 2026 earnings, that is largely reflecting its growth expectations. Celestica is trading at 7.3x our 2028 estimate and 9.9x current consensus (which will likely increase after today). Even if we accept the argument that Celestica should trade more in line with peers, Jabil is trading at 12.9x FY 28E while Flex is trading at 8.7x FY 29E (CY 28E).

- **While a multiple rerating could depend on improvement in broader AI sentiment, we believe revisions to numbers offers meaningful upside even with a multiple rerating, and that a new program announcement could also serve as a catalyst.** We continue to be positive about the AI theme, and believe that softer data points are driven more by incremental frontier lab competition rather than weaker adoption. However, we recognize that it is hard to fight the tape in these types of environments, and that Celestica's multiple might not recover until broader AI sentiment improves. With that said, we believe that the stock offers enough upside to numbers (Exhibit 4) that the stock could work even if the multiple remains depressed. Moreover, we believe a new program announcement could serve as a further catalyst to drive up numbers and the stock.

- **We reiterate our Outperform rating, and adjust our price target to $495 (13x $38 in 2028E EPS).**

EXHIBIT 1: **CLS Q3 26: Bernstein and Consensus Estimates vs Reported Results**

CLS Reported Results vs. Bernstein / Consensus (FY26 Q3)						
Revenue ($B)	**Bernstein**	**Reported**	**Delta**	**Consensus**	**Reported**	**Delta**
Advanced Technology Solutions (ATS)	0.91	0.96	6%	0.90	0.96	7%
Connectivity & Cloud Solutions (CCS)	4.52	4.87	8%	4.40	4.87	11%
Total Revenue	**5.43**	**5.83**	7%	**5.43**	**5.83**	7%
EPS ($)	**2.79**	3.30	18%	**2.96**	3.30	11%

Source: Company filings, Bloomberg (consensus as of 10/26/26), Bernstein estimates and analysis

EXHIBIT 2: **Celestica Guidance vs Pre-Close Bernstein and Consensus Numbers**

CLS Guidance Tracker		Guidance Low	Guidance Mid	Guidance High	Bernstein Estimates	Consensus Estimates	Actual
3Q26	Revenue ($B)	5.25	5.40	5.55	5.43	5.46	5.83
	EPS ($)	2.88	2.98	3.08	2.79	2.96	3.30
4Q26E	Revenue ($B)	6.275	6.425	6.575	6.31	6.40	
	EPS ($)	3.37	3.47	3.57	3.33	3.49	

Numbers are as of 10/26 pre-close to reflect estimates pre-earnings
Source: Company filings, Bloomberg (Updated at the close of 10/26/26), Bernstein estimates and analysis

EXHIBIT 3: **Celestica CCS 2026-28 Bridge**

2026-28 Bridge	Revenue	OP Margin %	OP $
2026 CCS	**17,386**	**8.9%**	**1,543**
TPU	7,770	7.0%	544
AMD Helios	2,504	12.0%	301
Other HPS	3,496	12.0%	419
Jalapeno scale-up	3,726	20.0%	745
Other Jalapeno	8,185	5.0%	409
2027 CCS	**43,067**	**9.2%**	**3,961**
TPU	3,150	7.0%	221
Jalapeno scale-up	3,513	20.0%	703
Other Jalapeno	7,717	5.0%	386
HPS	6,824	15.0%	1,024
2028 CCS	**64,271**	**9.8%**	**6,294**

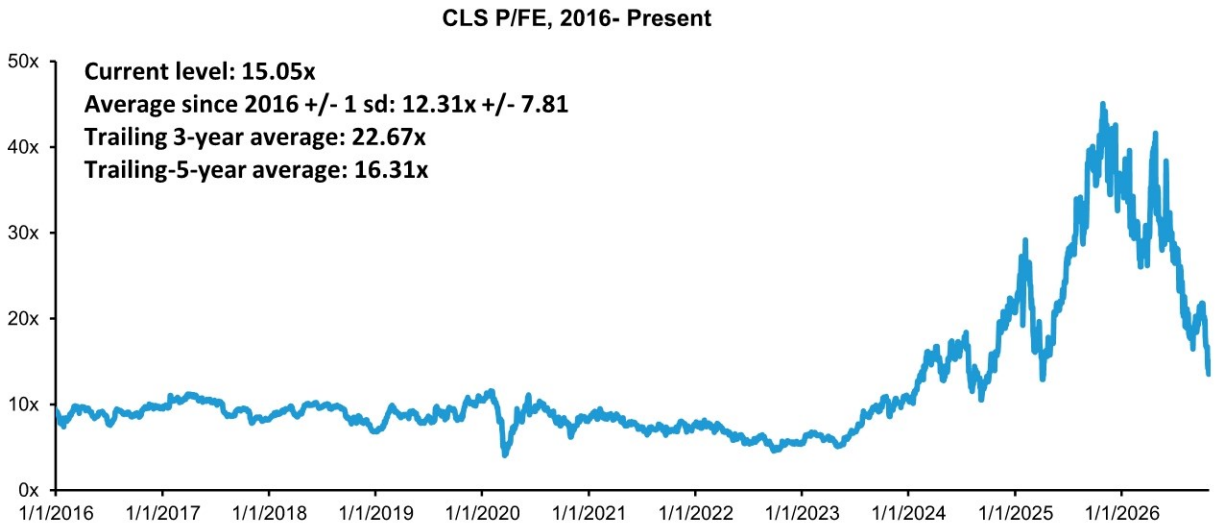
Source: Company Filings, Bernstein estimates and analysis

EXHIBIT 4: **CLS Bernstein vs Consensus Estimates**

CLS	FY26E	FY27E	FY28E	FY29E	FY30E
Total Revenue ($M)					
Consensus	$20,650	$36,317	$50,663	$59,434	$70,359
Actual / Bernstein Est.	**$21,023**	**$47,032**	**$68,746**	**$81,870**	**$91,655**
Bernstein vs. Cons.	*1.8%*	*29.5%*	*35.7%*	*37.8%*	*30.3%*
Advanced Technology Solutions Revenue ($M)					
Consensus	$3,504	$3,848	$4,216	$4,282	$4,610
Actual / Bernstein Est.	**$3,638**	**$3,965**	**$4,163**	**$4,371**	**$4,590**
Bernstein vs. Cons.	*3.8%*	*3.0%*	*-1.3%*	*2.1%*	*-0.4%*
Connectivity & Cloud Solutions ($M)					
Consensus	$16,526	$30,275	$46,903	$55,151	$65,749
Actual / Bernstein Est.	**$17,386**	**$43,067**	**$64,582**	**$77,499**	**$87,065**
Bernstein vs. Cons.	*5.2%*	*42.3%*	*37.7%*	*40.5%*	*32.4%*
Advanced Technology Solutions Profit ($M)					
Consensus	$229	$260	$286	$277	$293
Actual / Bernstein Est.	**$233**	**$266**	**$279**	**$293**	**$308**
Bernstein vs. Cons.	*2.1%*	*2.3%*	*-2.3%*	*5.8%*	*5.1%*
Connectivity & Cloud Solutions Profit ($M)					
Consensus	$1,506	$3,041	$4,395	$5,312	$6,085
Actual / Bernstein Est.	**$1,543**	**$3,919**	**$5,942**	**$7,595**	**$8,532**
Bernstein vs. Cons.	*2.5%*	*28.9%*	*35.2%*	*43.0%*	*40.2%*
Operating Profit ($M)					
Consensus	$1,725	$3,185	$4,457	$5,271	$6,443
Actual / Bernstein Est.	**$1,776**	**$4,185**	**$6,221**	**$7,888**	**$8,840**
Bernstein vs. Cons.	*3.0%*	*31.4%*	*39.6%*	*49.6%*	*37.2%*
EPS ($)					
Consensus	$11.19	$19.95	$27.93	$34.05	$40.88
Actual / Bernstein Est.	**$11.55**	**$25.68**	**$38.02**	**$48.24**	**$54.18**
Bernstein vs. Cons.	*3.2%*	*28.7%*	*36.1%*	*41.7%*	*32.5%*
FCF ($M)					
Consensus	$586	$395	$820	$2,302	$2,906
Actual / Bernstein Est.	**$483**	**-$142**	**$540**	**$3,540**	**$4,997**
Bernstein vs. Cons.	*-17.7%*	*-135.9%*	*-34.1%*	*53.8%*	*71.9%*

Source: Bloomberg (updated 10/27/26), Bernstein estimates and analysis

EXHIBIT 5: **CLS P/FE, 2016-present**



Source: Bloomberg (Updated as of 10/27/26), Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 6: **CLS Financial Model**

Celestica Inc - Financial Model *In US$ M unless otherwise specified*	12/31/2025 2025A	12/31/2026 2026E	12/31/2027 2027E	12/31/2028 2028E	3/31/2025 1Q25A	6/30/2025 2Q25A	9/30/2025 3Q25A	12/31/2025 4Q25A	3/31/2026 1Q26A	6/30/2026 2Q26A	9/30/2026 3Q26A	12/31/2026 4Q26E
Income Statement												
Non-GAAP Income Statement												
Revenue	**12,390.9**	**21,023.4**	**47,031.9**	**68,745.6**	**2,648.6**	**2,893.4**	**3,194.0**	**3,654.9**	**4,047.0**	**4,698.6**	**5,829.7**	**6,448.1**
COGS	10,975.9	18,639.0	41,623.2	60,702.4	2,357.1	2,555.7	2,819.6	3,243.5	3,588.7	4,159.9	5,177.3	5,713.1
Gross Profit	**1,415.0**	**2,384.5**	**5,408.7**	**8,043.2**	**291.5**	**337.7**	**374.4**	**411.4**	**458.3**	**538.7**	**652.4**	**735.1**
SG&A	364.0	409.0	838.8	1,328.6	85.0	87.8	94.4	96.8	91.0	104.1	104.6	109.3
R&D	118.2	195.3	376.3	481.2	17.6	34.0	36.4	30.2	41.2	46.3	51.2	56.6
Other	5.8	4.0	8.8	12.9	1.1	1.2	1.4	2.1	0.9	2.0	0.5	0.6
Opex	**488.0**	**608.3**	**1,223.9**	**1,822.7**	**103.7**	**123.0**	**132.2**	**129.1**	**133.1**	**152.4**	**156.3**	**166.5**
Operating Income	**927.0**	**1,776.2**	**4,184.7**	**6,220.5**	**187.8**	**214.7**	**242.2**	**282.3**	**325.2**	**386.3**	**496.1**	**568.6**
Other income (expense), net:	52.6	42.2	42.2	42.2	13.7	13.5	12.8	12.6	16.0	17.4	4.4	4.4
Pre-tax Income	**874.4**	**1,734.0**	**4,142.5**	**6,178.3**	**174.1**	**201.2**	**229.4**	**269.7**	**309.2**	**368.9**	**491.7**	**564.2**
Income Tax	**171.2**	**335.6**	**869.9**	**1,297.4**	**34.0**	**40.0**	**46.3**	**50.9**	**59.7**	**73.5**	**89.6**	**112.8**
Effective Tax Rate %	*19.6%*	*19.4%*	*21.0%*	*21.0%*	*19.5%*	*19.9%*	*20.2%*	*18.9%*	*19.3%*	*19.9%*	*18.2%*	*20.0%*
Net Income	**703.2**	**1,398.3**	**3,272.6**	**4,880.9**	140.1	161.2	183.1	218.8	249.5	295.4	402.1	451.3
Diluted Share Count	116.1	121.0	127.4	128.4	116.9	115.9	115.9	115.9	115.7	116.2	121.8	127.0
Earnings per Share	**6.06**	**11.55**	**25.68**	**38.02**	**1.20**	**1.39**	**1.58**	**1.89**	**2.16**	**2.54**	**3.30**	**3.55**
		3.13	**3.27**									
Balance Sheet												
Assets												
Cash and Cash Equivalents	596	4,054	3,927	4,413	303.0	313.8	305.9	595.6	378.0	535.7	3,961.3	4,054.3
Accounts Receivable, Net	2,638	4,240	8,247	12,054	2,135.9	2,287.8	2,439.3	2,638.1	3,167.4	3,338.2	3,763.1	4,239.9
Inventories	2,188	5,009	9,579	13,970	1,788.3	1,918.1	2,046.7	2,188.0	2,672.9	3,401.7	4,509.7	5,008.7
Other current assets	252	489	1,176	1,719	149.3	251.3	350.9	251.5	178.6	298.7	309.6	489.4
Total Current Assets	**5,673**	**13,792**	**22,928**	**32,156**	**4,376.5**	**4,771.0**	**5,142.8**	**5,673.2**	**6,396.9**	**7,574.3**	**12,543.7**	**13,792.3**
Property, plant & equipment, net	586	1,627	3,400	6,295	536.5	549.4	551.9	586.0	711.3	1,026.3	1,403.3	1,627.5
Operating lease right-of-use assets	124	195	195	195	124.6	123.5	124.5	124.1	149.8	152.7	194.7	194.7
Goodwill	333	333	333	333	340.5	340.8	340.7	333.1	333.0	332.9	333.3	333.3
Other intangible assets, net	266	224	182	146	297.5	286.8	275.4	266.2	255.6	244.9	234.2	224.3
Deferred income taxes	156	257	705	1,031	86.9	95.2	99.5	156.4	182.3	206.2	232.5	257.2
Other Non-Current Assets	74	218	564	825	72.4	74.4	71.9	74.1	231.1	250.3	196.8	217.7
Total Non-Current Assets	**1,540**	**2,855**	**5,380**	**8,825**	**1,458.4**	**1,470.1**	**1,463.9**	**1,539.9**	**1,863.1**	**2,213.3**	**2,594.8**	**2,854.6**
Total Assets	**7,213**	**16,647**	**28,308**	**40,981**	**5,834.9**	**6,241.1**	**6,606.7**	**7,213.1**	**8,260.0**	**9,787.6**	**15,138.5**	**16,646.9**
Liabilities												
Accounts payable	1,866	5,572	10,035	14,635	1,377.8	1,595.2	1,679.8	1,866.1	3,087.9	3,819.7	5,040.6	5,572.2
Accruals and other current liabilities and provisions	1,897	3,206	7,160	10,442	1,649.7	1,699.0	1,795.1	2,047.5	1,966.8	2,333.5	2,701.9	3,206.1
Operating Liabilities	**3,914**	**8,778**	**17,195**	**25,077**	**3,027.5**	**3,294.2**	**3,474.9**	**3,913.6**	**5,054.7**	**6,153.2**	**7,742.5**	**8,778.3**
Total Debt	777	819	819	819	941.7	875.2	784.1	776.5	772.4	810.4	818.8	818.8
Other non-operating liabilities	131	363	363	363	308.9	313.8	319.1	306.7	334.7	344.4	363.2	363.2
Total Non-Operating Liabilities	**1,083**	**1,182**	**1,182**	**1,182**	**1,250.6**	**1,189.0**	**1,103.2**	**1,083.2**	**1,107.1**	**1,154.8**	**1,182.0**	**1,182.0**
Total Liabilities	**4,997**	**9,960**	**18,377**	**26,259**	**4,278.1**	**4,483.2**	**4,578.1**	**4,996.8**	**6,161.8**	**7,308.0**	**8,924.5**	**9,960.3**
Equity												
Total Equity	**2,216**	**6,687**	**9,931**	**14,722**	**1,556.8**	**1,757.9**	**2,028.6**	**2,216.3**	**2,098.2**	**2,479.6**	**6,214.0**	**6,686.6**
Book value per share	**19.09**	**52.65**	**77.95**	**114.69**	**13.32**	**15.17**	**17.50**	**19.12**	**18.13**	**21.34**	**51.02**	**52.65**
Cash Flow												
Cash flows from operating activities												
Net income	**833**	**1,420**	**3,007**	**4,517**	86.2	211	267.8	267.5	212.3	368.8	397.2	441.9
Adjustments to reconcile net income to cash provided by operating activities												
Depreciation and Amortization	176	192	270	485	37.4	45.3	40.3	52.7	39.6	44	48.5	59.8
Stock-based compensation	70	102	224	327	26	15.2	15.6	13	30.5	19.3	21.3	30.7
Deferred income tax	(68)	(99)	(448)	(326)	-0.1	-14.9	-1.1	-52.3	-26.6	-22	-26.2	(24.7)
Other, Net	(238)	(104)	(347)	(261)	26.6	-83.5	-104	-77.1	13.5	-107.8	10.9	(20.9)
Change in Working Capital	(112)	14	(847)	(859)	-45.8	-20.7	-92.4	46.8	87	108.6	-62	(119.8)
Net cash provided by operating activities	**660**	**1,524**	**1,858**	**3,885**	**130.3**	**152.4**	**126.2**	**250.6**	**356.3**	**410.9**	**389.7**	**367.1**
Cash flows from investing activities												
Capital Expenditure and Capitalized Software Development	(201)	(1,042)	(2,000)	(3,344)	-36.7	-32.5	-37.3	-94.7	-229.5	-263.8	-274.1	(274.1)
Other	(3)	(3)	-	-	0	-2.5	0	0	0	-2.5	0	-
Acquisitions of Businesses and Assets, Net	-	-	-	-	0	0	0	0	0	0	0	-
Divestiture of Businesses and Assets, Net	-	23	-	-	0	0	0	0	11.1	-	11.9	-
Purchases (net of maturities and sales) of investments		-	-	-								-
Net cash provided by/(used in) investing activities	**(204)**	**(1,021)**	**(2,000)**	**(3,344)**	-36.7	-35	-37.3	-94.7	-218.4	-266.3	-262.2	**(274.1)**
Cash flows from financing activities												
Debt transactions	(529)	5	-	-	143	-66.9	-96.8	-8.3	-7.4	18.7	-6.7	-
Repurchase (net of issuance) of Parent Common Stock	(254)	2,958	14	(54)	-356.7	-39.7	0	142.1	-348.1	-0.8	3306.4	-
Financing - other	(0)	(6)	-	-	-0.2	0	0	0	0	-4.8	-1.6	-
Cash dividends paid		-	-	-								-
Net cash provided by/(used in) financing activities	**(284)**	**2,956**	**14**	**(54)**	**-213.9**	**-106.6**	**-96.8**	**133.8**	**-355.5**	**13.1**	**3298.1**	**-**
Cash reconciliation												
Free Cash Flow												
As reported:												
Free cash flow	**458.3**	**482.5**	**(141.6)**	**540.2**	**93.6**	**117.4**	**88.9**	**155.9**	**137.9**	**144.6**	**127.5**	**93.0**

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 7: **CLS Operating Model**

Celestica Inc - Operating Profit Model *In US$ M unless otherwise specified*	12/31/2025 2025A	12/31/2026 2026E	12/31/2027 2027E	12/31/2028 2028E	3/31/2025 1Q25A	6/30/2025 2Q25A	9/30/2025 3Q25A	12/31/2025 4Q25A	3/31/2026 1Q26A	6/30/2026 2Q26A	9/30/2026 3Q26A	12/31/2026 4Q26E
Revenue Drivers												
Non-GAAP Revenue												
Advanced Technology Solutions (ATS)	**3,202.4**	**3,637.6**	**3,965.0**	**4,163.3**	**807.2**	**819.1**	**781.0**	**795.1**	**806.0**	**888.3**	**957.4**	**985.9**
Networking	7,126.4	11,816.1	21,623.4	30,272.8	1,427.7	1,641.2	1,942.9	2,114.6	2,410.6	2,653.2	3,263.2	3,489.1
Compute & Storage	2,062.1	5,569.7	21,443.5	34,309.5	413.7	433.1	470.1	745.2	830.4	1,157.1	1,609.1	1,973.1
Connectivity & Cloud Solutions (CCS)	**9,188.5**	**17,385.8**	**43,066.9**	**64,582.3**	**1,841.4**	**2,074.3**	**2,413.0**	**2,859.8**	**3,241.0**	**3,810.3**	**4,872.3**	**5,462.2**
Total Revenue	**12,390.9**	**21,023.4**	**47,031.9**	**68,745.6**	**2,648.6**	**2,893.4**	**3,194.0**	**3,654.9**	**4,047.0**	**4,698.6**	**5,829.7**	**6,448.1**
Non-GAAP Revenue Growth												
Revenue growth % (YoY)												
Advanced Technology Solutions (ATS)	**1.5%**	**13.6%**	**9.0%**	**5.0%**	5.1%	6.7%	-4.1%	-1.3%	-0.1%	8.4%	22.6%	24.0%
Networking	82.5%	65.8%	83.0%	40.0%	90.1%	75.9%	85.1%	80.6%	68.8%	61.7%	68.0%	65.0%
Compute & Storage	-20.3%	170.1%	285.0%	60.0%	-40.0%	-37.4%	-26.0%	31.0%	100.7%	167.2%	242.3%	164.8%
Connectivity & Cloud Solutions (CCS)	**41.6%**	**89.2%**	**147.7%**	**50.0%**	**27.8%**	**27.7%**	**43.2%**	**64.4%**	**76.0%**	**83.7%**	**101.9%**	**91.0%**
Intersegment / Other												
Total Revenue Growth (YoY)	**28.5%**	**69.7%**	**123.7%**	**46.2%**	**19.9%**	**21.0%**	**27.8%**	**43.6%**	**52.8%**	**62.4%**	**82.5%**	**76.4%**
Reference: Industry model estimate for communications			127.0%	58.9%								
Revenue growth % (QoQ)												
Advanced Technology Solutions (ATS)					0.2%	1.5%	-4.7%	1.8%	1.4%	10.2%	7.8%	3.0%
Networking					21.9%	15.0%	18.4%	8.8%	14.0%	10.1%	23.0%	6.9%
Compute & Storage					-27.3%	4.7%	8.5%	58.5%	11.4%	39.3%	39.1%	22.6%
Connectivity & Cloud Solutions (CCS)					**5.8%**	**12.6%**	**16.3%**	**18.5%**	**13.3%**	**17.6%**	**27.9%**	**12.1%**
Intersegment / Other												
Total Revenue Growth (QoQ)					**4.0%**	**9.2%**	**10.4%**	**14.4%**	**10.7%**	**16.1%**	**24.1%**	**10.6%**
Segment Profit												
Non-GAAP Segment Profit												
Advanced Technology Solutions (ATS)	169.1	233.4	265.7	278.9	40.7	43.5	42.8	42.1	48.0	56.4	62.9	66.1
Networking	698.2	1,355.2	2,594.8	3,632.7	135.6	155.9	184.6	222.0	253.1	291.9	391.6	418.7
Compute & Storage	59.7	187.6	1,324.3	2,308.8	11.5	15.3	14.8	18.2	24.1	38.0	41.6	83.8
Connectivity & Cloud Solutions (CCS)	757.9	1,542.8	3,919.1	5,941.6	147.1	171.2	199.4	240.2	277.2	329.9	433.2	502.5
Total Segment Profit	**927.0**	**1,776.2**	**4,184.7**	**6,220.5**	**187.8**	**214.7**	**242.2**	**282.3**	**325.2**	**386.3**	**496.1**	**568.6**
Non-GAAP Segment Profit Growth												
Segment Profit growth % (YoY)												
Advanced Technology Solutions (ATS)					12.4%	23.2%	9.7%	13.8%	17.9%	29.7%	47.0%	56.9%
Connectivity & Cloud Solutions (CCS)					45.4%	47.0%	54.9%	75.8%	88.4%	92.7%	117.3%	109.2%
Total Segment Profit Growth (YoY)					**36.7%**	**41.4%**	**44.4%**	**62.6%**	**73.2%**	**79.9%**	**104.8%**	**101.4%**
Segment Profit growth % (QoQ)												
Advanced Technology Solutions (ATS)					10.0%	6.9%	-1.6%	-1.6%	14.0%	17.5%	11.5%	5.0%
Connectivity & Cloud Solutions (CCS)					7.7%	16.4%	16.5%	20.5%	15.4%	19.0%	31.3%	16.0%
Total Segment Profit Growth (QoQ)					**8.2%**	**14.3%**	**12.8%**	**16.6%**	**15.2%**	**18.8%**	**28.4%**	**14.6%**
Non-GAAP Segment Profit Margin												
Advanced Technology Solutions (ATS)	5.3%	6.4%	6.7%	6.7%	5.0%	5.3%	5.5%	5.3%	6.0%	6.3%	6.6%	6.7%
Networking	9.8%	11.5%	12.0%	12.0%	9.5%	9.5%	9.5%	10.5%	10.5%	11.0%	12.0%	12.0%
Compute & Storage	2.9%	3.4%	6.2%	6.7%	2.8%	3.5%	3.2%	2.4%	2.9%	3.3%	2.6%	4.2%
Connectivity & Cloud Solutions (CCS)	8.2%	8.9%	9.1%	9.2%	8.0%	8.3%	8.3%	8.4%	8.6%	8.7%	8.9%	9.2%
Total Segment Profit %	**7.5%**	**8.4%**	**8.9%**	**9.0%**	**7.1%**	**7.4%**	**7.6%**	**7.7%**	**8.0%**	**8.2%**	**8.5%**	**8.8%**
Non-GAAP Segment Profit Margin Change												
Segment Profit Margin Change % (YoY)												
Advanced Technology Solutions (ATS)					0.3%	0.7%	0.7%	0.7%	0.9%	1.0%	1.1%	1.4%
Connectivity & Cloud Solutions (CCS)					1.0%	1.1%	0.6%	0.5%	0.6%	0.4%	0.6%	0.8%
Total Segment Profit Change % (YoY)					**0.9%**	**1.1%**	**0.9%**	**0.9%**	**0.9%**	**0.8%**	**0.9%**	**1.1%**
Segment Profit Margin Change % (QoQ)												
Advanced Technology Solutions (ATS)					0.5%	0.3%	0.2%	-0.2%	0.7%	0.4%	0.2%	0.1%
Connectivity & Cloud Solutions (CCS)					0.1%	0.3%	0.0%	0.1%	0.2%	0.1%	0.2%	0.3%
Total Segment Profit Change % (QoQ)					**0.3%**	**0.3%**	**0.2%**	**0.1%**	**0.3%**	**0.2%**	**0.3%**	**0.3%**
Operating Profit Decomposition												
Statement of Operations												
Total revenue	**12,390.9**	**21,023.4**	**47,031.9**	**68,745.6**	**2,648.6**	**2,893.4**	**3,194.0**	**3,654.9**	**4,047.0**	**4,698.6**	**5,829.7**	**6,448.1**
Cost of revenue	10,975.9	18,639.0	41,623.2	60,702.4	2,357.1	2,555.7	2,819.6	3,243.5	3,588.7	4,159.9	5,177.3	5,713.1
Gross profit	**1,415.0**	**2,384.5**	**5,408.7**	**8,043.2**	**291.5**	**337.7**	**374.4**	**411.4**	**458.3**	**538.7**	**652.4**	**735.1**
Operating expenses:												
Sales and marketing	364.0	409.0	838.8	1,328.6	85.0	87.8	94.4	96.8	91.0	104.1	104.6	109.3
Research and development	118.2	195.3	376.3	481.2	17.6	34.0	36.4	30.2	41.2	46.3	51.2	56.6
Others	5.8	4.0	8.8	12.9	1.1	1.2	1.4	2.1	0.9	2.0	0.5	0.6
Total operating expenses	**488.0**	**608.3**	**1,223.9**	**1,822.7**	**103.7**	**123.0**	**132.2**	**129.1**	**133.1**	**152.4**	**156.3**	**166.5**
Income from operations	**927.0**	**1,776.2**	**4,184.7**	**6,220.5**	**187.8**	**214.7**	**242.2**	**282.3**	**325.2**	**386.3**	**496.1**	**568.6**
Common Size Margin Decomposition												
Gross Margin %	**11.4%**	**11.3%**	**11.5%**	**11.7%**	**11.0%**	**11.7%**	**11.7%**	**11.3%**	**11.3%**	**11.5%**	**11.2%**	**11.4%**
SG&A %	2.9%	1.9%	1.8%	1.9%	3.2%	3.0%	3.0%	2.6%	2.2%	2.2%	1.8%	1.7%
R&D %	1.0%	0.9%	0.8%	0.7%	0.7%	1.2%	1.1%	0.8%	1.0%	1.0%	0.9%	0.9%
Other %	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%	0.0%	0.0%
Opex %	**3.9%**	**2.9%**	**2.6%**	**2.7%**	**3.9%**	**4.3%**	**4.1%**	**3.5%**	**3.3%**	**3.2%**	**2.7%**	**2.6%**
Operating Margin %	**7.5%**	**8.4%**	**8.9%**	**9.0%**	**7.1%**	**7.4%**	**7.6%**	**7.7%**	**8.0%**	**8.2%**	**8.5%**	**8.8%**

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

			27 Oct 2026		TTM		Reported EPS			Reported P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
CLS (Celestica)	O	USD	276.54	**495.00**	(20.7)%	USD	6.06	**11.55**	**25.66**	45.7	23.9	10.8
OLD				520.00				10.82	24.19			
SPX			7,722.60									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY

Celestica Inc

We apply a 13x multiple to our estimate of $38 in FY 28 EPS, and set our price target at $495.

RISKS

Celestica Inc

Competition with ODM and EMS peers intensifies, leading to a lower win rate for new programs, reduced share of wallet for existing programs, and narrower margins

Nvidia gains share, reducing Celestica's opportunity to capture share with competing ecosystems such as Google TPU

AI adoption decelerates, in turn leading to reduced investment in AI infrastructure

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

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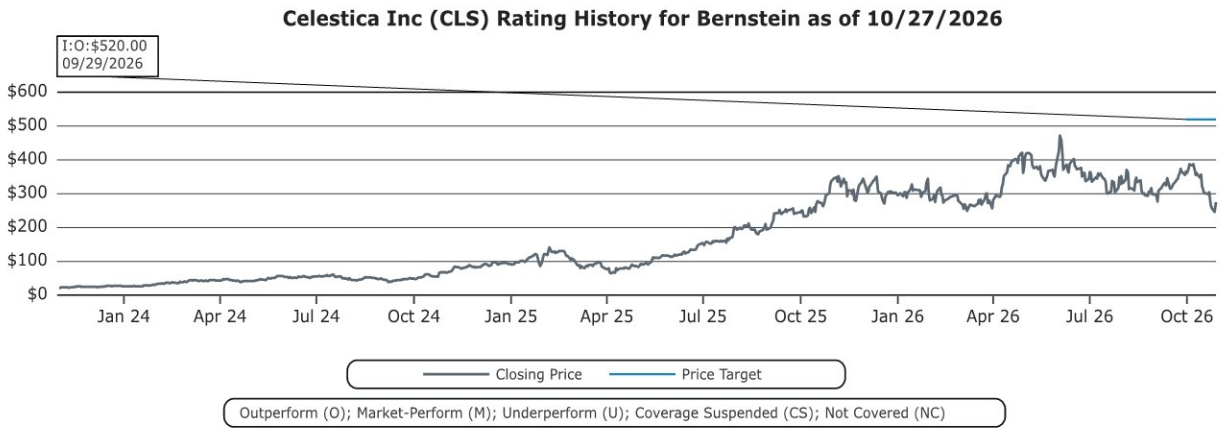
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